

CONTACT INFORMATION	Finance Department Gies College of Business 1206 S Sixth Street Champaign, IL 61820	+1 (217)417-2194 yz33@illinois.edu Personal Website Department Website
EDUCATION	University of Illinois Urbana-Champaign	
	Ph.D. candidate, Finance	2027 (Expected)
	M.S., Finance (with honors)	2019
	Jilin University, China	
	B.A., Economics	2018
RESEARCH INTERESTS	Macro-Finance, Asset Pricing, Monetary Policy, Machine Learning	
JOB MARKET PAPER	A Macro-Finance Model of Capital Reallocation and Misallocation I quantitatively study the efficiency in capital allocation and financial markets jointly in a general equilibrium model with heterogeneous investors. Leveraged intermediaries allocate wealth across sectors that differ in productivity and risk exposure, and face state-dependent margin constraints. I find that efficiency in financial markets and allocative efficiency in capital are mutually reinforcing. Three forces drive this result. First, efficient capital allocation in the presence of sectoral dispersion requires strong financial balance sheets and efficient risk sharing, and reflects risk-adjusted costs of capital. Second, binding constraints during downturns distort risk sharing among investors and raise risk premia, setting the stage for capital misallocation. Third, the resulting inefficiency in capital composition further affects valuations and growth through risk sharing among investors in constrained states. The mechanisms thus create a feedback loop between efficiency in capital allocation and efficiency in financial markets.	
WORKING PAPERS	The Equity Constraint Channel of Monetary Policy <i>SSRN</i> (with Heitor Almeida, Timothy Johnson, Sebastiao Oliveira) <i>Selected Presentations: FIRS 2026, SFS Cavalcade 2026, WFA 2025, MFA 2025</i> We use a measure of financial constraint that distinguishes between a company's emphasis on equity versus debt financing to show that equity-focused constrained firms endure larger declines in stock prices and implement deeper cuts in investments when faced with contractionary monetary policy shocks. Equity-focused constrained firms reduce equity issuance and are more reluctant to run down cash holdings in response to tighter monetary policy. Contractionary shocks reduce investor demand for the equity of constrained firms, increasing their cost of capital. Our findings suggest that equity frictions are the main determinant of the transmission of monetary policy to the corporate sector.	

Beliefs Heterogeneity and the Equity Term Structure *SSRN*

(with Hamilton Galindo Gil)

Selected Presentation: SFS Cavalcade 2025

What is the role of belief heterogeneity in shaping the equity term structure? We address this question by developing a general equilibrium model featuring habit formation in consumption and heterogeneity in both risk aversion and beliefs about the expected growth rate of the aggregate endowment. We demonstrate that the effects of belief heterogeneity are countercyclical: they increase equity yields during recessions and reduce them during expansions. These effects are more pronounced for short-term assets than for long-term ones. We then examine the role of diagnostic beliefs and show that the overreaction parameter raises equity yields across maturities, with particularly strong effects on short-term maturities during expansions. Overall, our findings highlight the significant influence of belief heterogeneity in shaping the equity term structure.

Rates Up, Balances Up: Uneven Monetary Transmission in Consumer Credit Markets *SSRN*

(with Viraj Chordiya, Divij Kohli, Justin Mohr)

Selected Presentations: FMA 2026, Boulder Summer Conference 2026

What happens to consumer borrowing when interest rates rise? Standard intuition suggests that higher rates reduce borrowing by raising borrowing costs and tightening cash flow. We show that, over medium horizons, the opposite can occur. Using a representative panel of consumer credit records, we estimate dynamic responses of household debt. A 25 basis point increase in the 1-year rate raises total consumer debt by about 2% over three years (\$1,539). These effects are highly uneven across households. Debt increases are concentrated among financially constrained borrowers, while high-credit-score consumers show little to no response. Additional evidence is consistent with an indirect channel: monetary tightening weakens labor-market income, and more exposed households respond by relying more on credit. Our results show that contractionary monetary policy can increase indebtedness among vulnerable households, highlighting an important distributional dimension of monetary transmission.

WORK IN
PROGRESS

Huggett Meets Epstein-Zin in Continuous Time *SSRN*

(with Hamilton Galindo Gil, Ji Huang)

We extend the Huggett model to consider recursive preferences, and show that elasticity of intertemporal substitution (EIS) plays a crucial role in shaping wealth and consumption distributions, while relative risk aversion (RRA) plays a marginal role. Our model is characterized by wealth and income heterogeneity among agents, incomplete markets, and separation between RRA and EIS, providing a baseline framework for macro-finance models in continuous time.

Macroprudential Policy, Balance Sheets, and Tail Risk *SSRN*

(solo)

This paper quantitatively analyzes macroprudential regulation in a general equilibrium model where financial intermediaries hold levered positions in productive capital, subject to Value-at-Risk (VaR) constraints. I show that tighter constraints mitigate tail risk, but simultaneously increase the overall volatility of the financial system by

magnifying the impact of shocks when constraints bind. Tighter constraints reduce frequency of the crisis but prolong its duration.

Transmission of Productivity Shocks: Implications from a Two-Sector Economy

(solo)

I develop a two-sector general equilibrium model to study how sectoral shocks propagate through investment and capital reallocation. Differences in the persistence and nature of sectoral risks generate distinct responses of aggregate quantities and asset prices.

SEMINARS & CONFERENCES	2026 (incl. scheduled)	
	FMA Doctoral Student Consortium; FMA (x2); NSE PhD and Postdoctoral Workshop; EFA*; CICF; UIUC Gies (x2); UIUC Macro*; FIRS*; SFS Cavalcade; Boulder Summer Conference on Consumer Financial Decision Making*;	
	2025	
	AFA Ph.D. Poster; MFA*; SFS Cavalcade; WFA; Baylor University*; University of Maryland*; Cal Poly University*; LuBraMacro*;	
	2022-2024	
	SWFA; FMA Applied Finance; FMA Asia; University of São Paulo*; FMA; SFA*; UIUC Gies (x2); SED Winter (withdrawn);	
	(*): co-author presentation	
SERVICE	Referee	
	Journal of Empirical Finance, Quarterly Review of Economics and Finance, Journal of Corporate Finance	
	Discussion	
	Li, Kogan, and Qiao, <i>“Asset Growth Effect and Q Theory of Investment”</i>	
	Menze, Beckmann, Beckmeyer, Zhou, and Filippou, <i>“Unusual Financial Communication: ChatGPT, Earnings Calls and Financial Markets”</i>	
TEACHING	Teaching Assistant, Empirical Analysis in Finance (Ph.D., 2024, 2025, 2026)	UIUC
	Teaching Assistant, Financial Risk Management (Graduate, 2026)	UIUC
	Instructor, Heterogeneous Agent in Asset Pricing Summer School (2025)	CSU
	Teaching Assistant, Corporate Finance (Undergraduate, 2022-2023)	UIUC
	Teaching Assistant, Personal Wealth Management (Undergraduate, 2019)	UIUC
	Teaching Assistant, FinTech (Graduate, 2019)	UIUC
HONORS AND AWARDS	Sheth Fellowship Award	2026
	Richard A. Erley Fellowship Award	2025
	AFA Ph.D. Travel Grant	2025
	UIUC Graduate College Conference Travel Grant	2024
	Joseph E. Zwisler and Ouida Wald Zwisler Summer Doctoral Fellowship	2023
	Greg Gulick Honorary Research Award	2021

	Department of Finance Doctoral Fellowship	2020-2025
	Jilin University Fellowship	2017
ADDITIONAL	Heterogeneous Agent in Asset Pricing Summer School (Participant)	2024
	UIUC Finance Ph.D. Reading Group (Co-organizer)	2022-2024
	Econometric Society Summer School (Participant)	2023
	CEMFI Macroeconomics Summer School(Participant)	2023
	Macro Finance Society Summer School (Participant)	2021-2023
	Demand System Asset Pricing Workshop (Participant)	2022
	Mitsui Center Summer School on Structural Estimation (Participant)	2021
LANGUAGES	English, Mandarin, R, Python, julia, MATLAB, L ^A T _E X, STATA	
REFERENCES	Heitor Almeida (Co-chair) Professor of Finance halmeida@illinois.edu Neil Pearson Professor of Finance pearson2@illinois.edu	Victor Duarte (Co-chair) Assistant Professor of Finance vduarte@illinois.edu Mahyar Kargar Associate Professor of Finance kargar@illinois.edu
	<i>All references: Gies College of Business, University of Illinois Urbana-Champaign</i>	